



QUANTA

"To provide energy infrastructure solutions
better and safer than anyone."

Harsha Ahmed, Grace Wu, Mark Stolin, Madeline Morrissey, Soham Joshi

Quanta Services

NYSE:

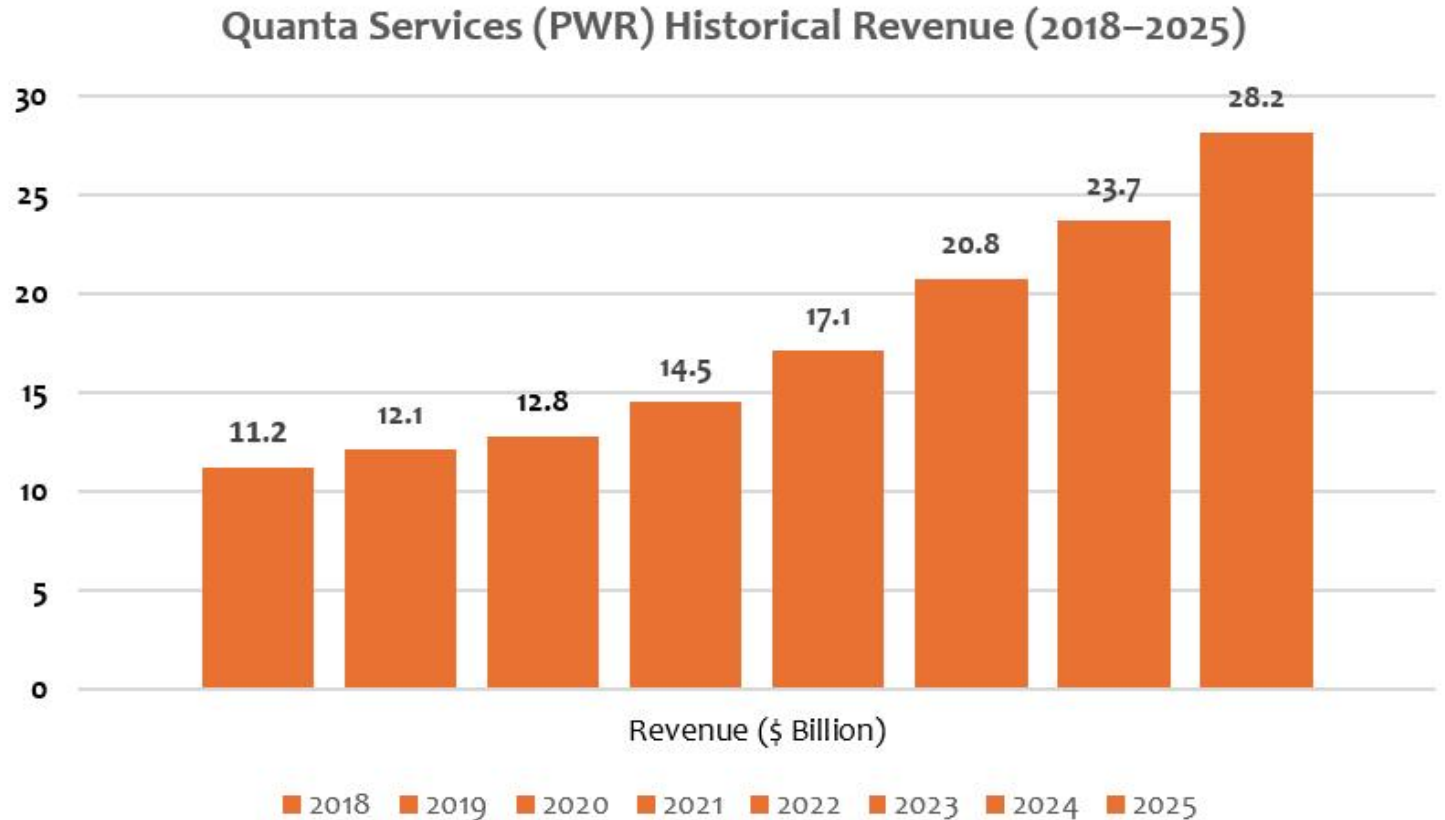
PWR

- Founded in 1997; Houston, Texas
- ~28.2B Revenue (FY 2025)
- Market Cap: ~67B
- 55,000+ Employees Across North America
- Business Segments
 - *Electric Infrastructure Solutions*
(~80% Revenue)
 - Transmission, Distribution, Substations, Renewables, Storage
 - *Underground Utility Solutions*
(~20% Revenue)
 - Pipelines Gas Water Broadband

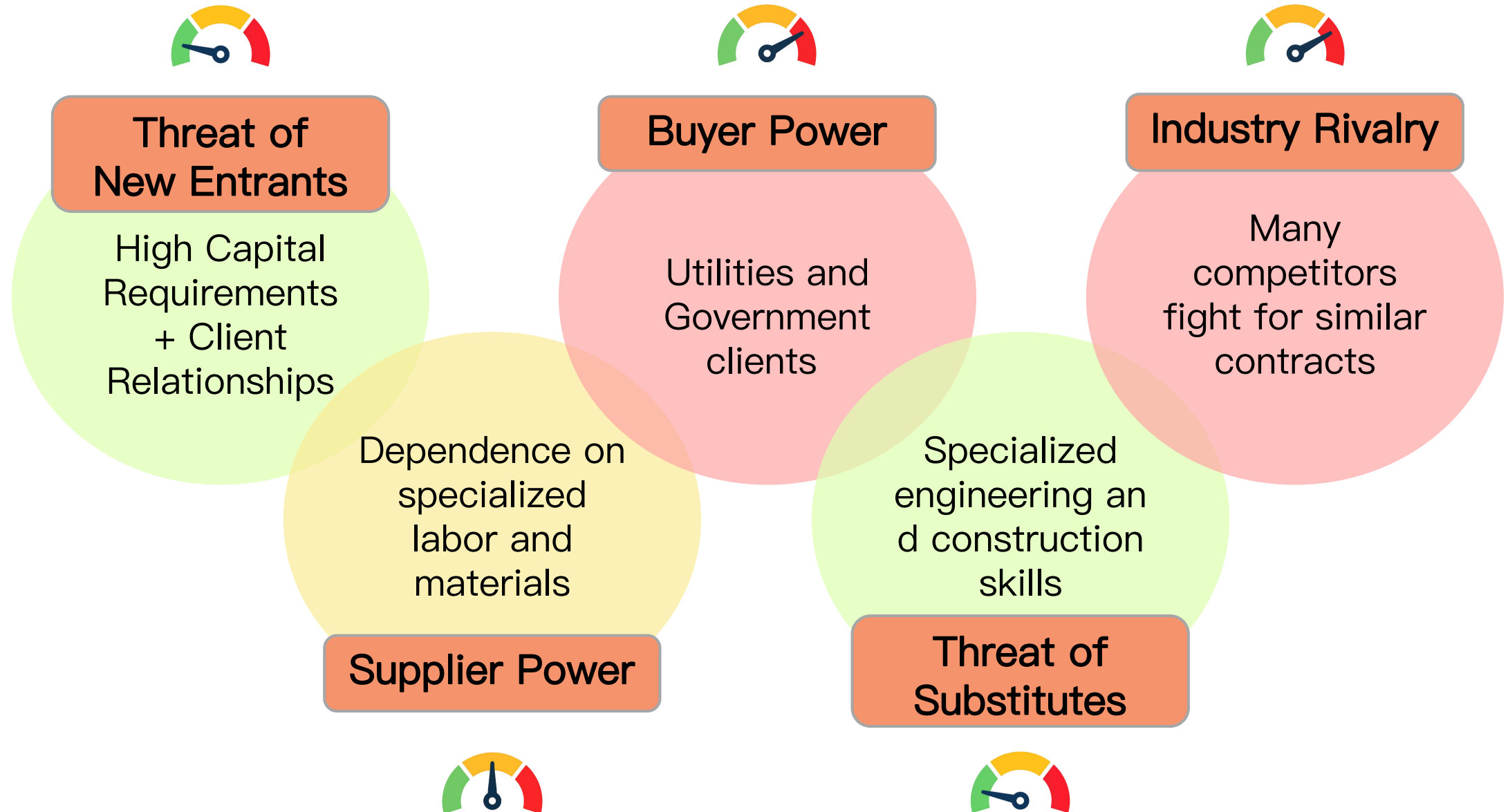


Historical Growth

- Revenue CAGR (2018–2025): $\approx 13.3\%$
- Record \$35.8 B backlog (+16 % YoY)
- Operating margin stable around 5.7–6 %; guided to expand with renewable mix
- EPS grew from ~\$3.4 (2019) → ~\$10.6 (2025)



Porter's 5 Forces



SWOT Analysis

- Market Leader in Transmission & Distribution
- Strong Utility Partnerships
- Record Backlog

Strengths

- High Valuation vs. Peers
- U.S. Centric Revenue Base

Weakness

- IRA-funded Renewables
- AI/Data Center Demand
- Canada & LatAm Expansion

Opportunities

- Labor Shortages
- Permitting Delays
- Policy Shifts

Threats



Industry Analysis

U.S. electric-power construction market
≈ **\$130 B**, growing
~6 % CAGR

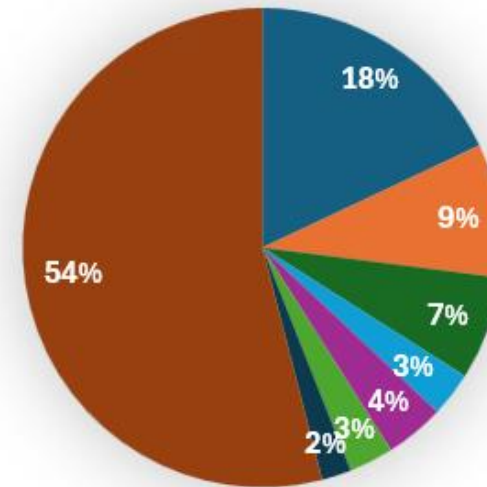
IRA provides **\$369 B**
clean-energy
incentives; ~\$13 B
for grid upgrades

Utility capex > \$200
B (2025E)

Data-center load
projected to
double/triple by
2028

PWR ≈ 18 % market
share → clear leader

Market Share in U.S. Power Infrastructure Construction (2025)



■ Quanta Services (PWR)
■ EMCOR Group (EME)
■ AECOM (ACM)
■ Dycom (DY)

■ MasTec (MTZ)
■ MYR Group (MYRG)
■ Primoris (PRIM)
■ Other Contractors (Industry Remainder)



Competitors



Competitors

Key Index	Quanta Services	MasTec	MYR Group	AECOM	EMCOR
Scale & Workforce Capacity	✓ Largest in North America (50k+)	✓		✓	✓
High-Voltage Grid Expertise	✓ #1 in HV, T&D, grid hardening	✓	✓ Smaller		
Vertical Integration (Design → Build → Maintain)	✓ Fully integrated EPC + maintenance	✓ Partial		✓ Engineering-only	
Backlog Stability & Recurring Utility Contracts	✓ \$30B+ long-term utility contracts	✓	✓ Smaller		✓
Geographic Reach & Deployment Capacity	✓ All 50 states + Canada	✓		✓ Global	✓



Investment Thesis

Quanta Services is positioned to OUTPERFORM consensus expectations because of these CATALYSTS:

Record
Backlog
Conversion

\$35.8 B backlog
ensures multi-year
revenue visibility.

Electrification
& AI-
Driven
Power
Demand

Utility expansion for
EVs and data centers
sustains double-digit
growth.

Renewable
Project
Margin
Expansion.

Higher-margin CEI
acquisition adds \$2.3–2.4
B revenue and \$0.40–0.50
EPS accretion.

BUY!

Given PWR's recurring revenue base, policy tailwinds, and sustainable margin expansion



Risks & Mitigants

Risk	Impact	Mitigants
Political & Policy Risk	Shifts in renewable incentives can delay projects	Diversified exposure, with 70% of revenue dependent on utilities and grid reliability, which is a bipartisan priority.
Valuation Premium	At a 36x forward P/E, multiple compression could occur	Double-digit EPS growth and consistent beats historically justify its premium valuation.
Project Execution/Labor Shortage	Skilled-labor gaps or project delays could pressure margins.	In-house training (e.g., Northwest Lineman College) and cost-plus contracts reduce inflation and labor risks.
Permits & Regulation	Environmental or right-of-way approvals may delay projects.	Long-term MSAs ensure baseline revenue; bipartisan support for permitting reform limits downside.
Bear Market	Broader slowdown could affect capital spending and sentiment.	Utility clients have rate-recovered budgets; maintenance and restoration work rise during downturns.
U.S. Market Concentration	~90% of revenue from North America limits diversification.	Existing operations in Canada/LatAm and global grid investment trends provide expansion optionality.



Income Statement

(2024A–2026E)

(\$ Millions)	2024A	2025E	2026E
Revenue	23,672.8	26,500 (+12%)	29,100 (+10%)
COGS (85.2%)	(22,041)	(24,645)	(27,063)
Gross Profit	1,659	1,855	2,037
SG&A (7.7%)	(948)	(1,060)	(1,164)
EBITDA	2,089	1,250	1,400
D&A	(200)	(220)	(230)
EBIT (Operating Income)	1,346.5	1,030	1,170
Interest Expense	(100)	(110)	(115)
EBT	800	920	1,055
Tax @ 21%	(168)	(193)	(222)
Net Income	632	727	833
EPS (\$)	9.80	11.80	12.80



Cash Flow

Item	2024	2023	2022
Cash provided by operating activities:			
Net income	927.30	750.70	511.60
Depreciation & amortization	742.30	613.80	644.60
Non-cash interest expense (≈)	25.00	23.00	22.00
Stock-based compensation	150.50	126.80	105.60
Deferred tax (provision)/benefit	(8.30)	3.80	42.10
Provision for doubtful accounts (≈)	5.00	4.00	4.00
Loss on extinguishment of debt (≈)	0.00	0.00	0.00
(Gain)/loss on asset sales & impairments net (≈)	21.00	(6.00)	(16.00)
Environmental adjustments (≈)	1.00	1.00	1.00
Loss from unconsolidated equity inv.	2.20	24.20	(19.20)
Other non-cash items	21.00	(6.00)	(16.00)
Accounts receivable (change)	(428.10)	(615.70)	(349.50)
Prepaid expenses & other assets (change)	40.40	(90.30)	(15.60)
Accounts payable (change)	52.40	771.90	144.20
Capping/closure expenditures (≈)	1.00	1.00	1.00
Remediation expenditures (≈)	2.00	2.00	2.00
Other liabilities (change)	(8.30)	3.90	(14.40)
Payments from retirement of hedges (≈)	0.00	0.00	0.00
Net cash provided by operating activities	2 081.2	1 576.0	1 130.3
Cash used in investing activities:			
Purchases of property & equipment	(604.10)	(434.80)	(427.60)
Proceeds from sales of PPE	77.60	69.30	64.10
Cash used in acquisitions (net)	(1 745.7)	(651.60)	(195.10)
Cash received from divestitures	29.20	-	-
Purchases of restricted securities (≈)	(10.00)	(10.00)	(10.00)
Other investing items	(81.90)	(7.50)	(78.10)
Net cash used in investing activities	(2 294.3)	(989.70)	(617.20)
Cash provided by/(used in) financing activities:			
Borrowings under credit facility & CP program	19 884.2	18 178.9	9 300.1
Proceeds from senior notes (net)	1 238.7	-	-
Payments of credit facility & CP program	(20 715.0)	(17 770.2)	(9 323.5)
Premiums paid on debt extinguishment (≈)	0.00	0.00	0.00
Issuance of common stock (net ≈)	5.00	10.00	10.00
Purchases of treasury stock	0.00	(0.40)	(127.80)
Cash dividends paid	(54.20)	(47.80)	(41.10)
Distributions to non-controlling interests (≈)	(5.00)	(5.00)	(5.00)
Contingent consideration payments	0.00	-	-
Payments for tax withholding on stock comp	(155.60)	(119.80)	(82.60)
Other (net financing)	(3.80)	27.70	(36.30)
Net cash (used in)/provided by financing	(305.60)	268.50	(311.10)
Effect of FX rate changes on cash	(30.30)	7.00	(0.70)
Increase (decrease) in cash	(549.00)	861.80	201.30
Cash at beginning of year	1 295.0	433.20	231.90
Cash at end of year	746.00	1 295.0	433.20



Revenue Buildout

Revenue Build		Historical			Projected		
Year		2022	2023	2024	2025	2026	2027
Revenue		17,073,903.00	20,882,206.00	23,672,795.00	28,160,818.90	34,027,500.23	41,786,724.61
	YoY Growth (%)	0.22	0.13	0.07	15.94	17.24	18.57
Electric Power		8,940,276.00	9,696,897.00	11,166,495.00	12,283,144.50	13,511,458.95	14,862,604.85
Renewable Energy		3,778,560.00	6,170,301.00	7,845,884.00	10,984,237.60	15,377,932.64	21,529,105.70
Underground and Infrastructure		4,355,067.00	5,015,008.00	4,660,416.00	4,893,436.80	5,138,108.64	5,395,014.07
Forecast							
Electric Power		0.00	0.08	0.15	0.10	0.10	0.10
Renewable Energy		0.00	0.63	0.27	0.40	0.40	0.40
Underground and Infrastructure		0.00	0.15	(0.07)	0.05	0.05	0.05





Questions?
